PRA Glossary - R

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railway rolling stock

means theclassofcontract of insurance, specified in paragraph 4 of Part 1 of Schedule 1 to theRegulated Activities Order.

rating notch

means, in respect of eachcredit quality step, the additional sub-categories (if relevant) which differentiate the relative credit quality of assets within thatcredit quality step.

real estate

means an interest in land, buildings or other immoveable property.

recognised scheme

The changes to this defined term are effective from 23:00 on 31/12/2020.means a scheme recognised under:(1) section 270 ofFSMA(Schemes authorised in designated countries or territories); or(2) section 272 ofFSMA(Individually recognised overseas schemes).

recovery plan

means:(1) (except in theGroup SupervisionPart of thePRARulebook), theRecovery PlansPart of thePRARulebook and theOperational ContinuityPart of thePRARulebook), the recovery plan required to be provided by a firm to thePRAunderUndertakings in Difficulty 3.1(2);(2) (in theGroup SupervisionPart of thePRARulebook), the recovery plan required to be provided by arelevant insurance group undertakingto thePRAunderGroup Supervision 4.4(2); and(3) (in theRecovery PlansPart of thePRARulebook and theOperational ContinuityPart of thePRARulebook) a recovery plan drawn up by afirmin accordance withRecovery Plans 2.

recovery time risk

means the risk of loss, or of adverse change in the value of insurance obligations, resulting from changes in the expected time until the cessation of payments to those currently unable to work due to illness, injury or disability.

Regulated Activities Order

means the Financial Services and Markets Act 2000 (Regulated Activities) Order 2001 (SI 2001/544).

regulated activity

This term is defined externally, please refer to:FSMA s22

regulated affiliated company

means anaffiliated companywhich has aPart 4A permission.

regulated benchmark administrator

a person who has aPart 4A permissionto carry on theregulated activityofadministering a benchmark.

regulated collective investment scheme

means:(1) anICVC;(2) anauthorised unit trust scheme;(3) anauthorised contractual scheme; or(4) arecognised scheme.

regulated entity

means:(1) acredit institution;(2) aSolvency II undertaking, athird country insurance undertaking, athird country reinsurance undertaking;(3) aninvestment firm;(4) anasset management company; or(5) analternative investment fund manager;whether or not it is incorporated in, or has its head office in, theUK.

regulated institution

The changes to this defined term are effective from 23:00 on 31/12/2020.means any of the following:(1) aUK Solvency II firm, theSociety, amanaging agentor athird country branch undertaking; or(2) aCRD credit institution; or(3) anon-directive insurer; or(4) afirmwhosepermissionincludesdealing in investments as principalwith respect toderivativeswhich are notlisted; or(5) aMiFID investment firmwhose authorisation (as referred to in article 5 ofMiFID) authorises it to carry on activities of the kind referred to in (4).

regulated market

The changes to this defined term are effective from 23:00 on 31/12/2020.means:(1) a regulated market as defined in Article 2(1) ofMiFIR; or(2) a market situated outside theUKwhich is characterised by the fact that:(a) it meets comparable requirements to those set out in (1); and(b) the financial instruments dealt in are of a quality comparable to those in a regulated market in theUK.

regulatory system

The changes to this defined term are effective from 23:00 on 31/12/2020.means the arrangements for regulating afirmor otherpersonin or underFSMA, the Bank of England Act 1998, the Banking Act 2009, the Friendly Societies Act 1974, the Friendly Societies Act 1992, the Credit Unions Act 1979, including thethreshold conditions, theFundamental Rulesand other rules, theStatements of Principle, codes and guidance given by thePRA, theBank of Englandor theFCAand including any relevant provisions of anEURegulation including those specified under section 204A(2) ofFSMA.

reinsurance

includes retrocession.

reinsurance contract

means acontract of insurancecovering all or part of a risk to which apersonis exposed under acontract of insurance.

Reinsurance Directive

means the Directive of 16 November 2005 of the European Parliament and of the Council (No 2005/68/EC) on reinsurance and amending theFirst Non-Life Directiveand theThird Non-Life Directiveas well as theInsurance Groups Directiveand theConsolidated Life Directive.

reinsurance distribution

has the meaning given in Article 2(1)(2) of theInsurance Distribution Directive.

reinsurance to close

means:(1) an agreement under whichmembersof asyndicatein onesyndicate year("the reinsuredmembers") agree with themembersof thatsyndicatein a latersyndicate yearor themembersof anothersyndicate("the reinsuringmembers") that the reinsuringmemberswill discharge, or procure the discharge of, or indemnify the reinsuredmembersagainst, all known and unknowninsurance businessliabilities of the reinsuredmembersarising out of theinsurance businesscarried on by the reinsuredmembersin thatsyndicate year; or(2) a similarreinsuranceagreement or arrangement that has been approved by theCouncilas a reinsurance to close.

reinsurance undertaking

means aninsurance undertakingwhoseinsurance businessis restricted toreinsurance.

reinsurer

means aninsurance undertakingwhose business includeseffecting contracts of insuranceorcarrying out contracts of insurancethat arereinsurancecontracts; includes a retrocessionaire.

related undertaking

means, in relation to anundertaking('U')(1) anysubsidiary undertakingof U; or(2) anyundertakingin which U or any of U'ssubsidiary undertakingsholds aparticipation; or(3) anyundertakinglinked to U by acommon management relationship; or(4) anyundertakinglinked by acommon management relationshipto anundertakingin (1), (2) or (3).

relevant capital sum

means the sum under acontract of insurancewhich is:(1) unless (2) applies;(a) for whole life assurances, the sum assured;(b) forcontracts of insurancewhere a sum is payable on maturity (including contracts where a sum is also payable on earlier death), the sum payable on maturity;(c) for deferred annuities, the capitalised value of the annuity at the vesting date (or the cash option if it is greater);(d) forcapital redemptioncontracts, the sum payable at the end of the contract period; and(e) forlinked long-termcontracts of insurance, notwithstanding (a) to (d), the lesser of:(i) the amount for the time being payable on death; and(ii) the aggregate of the value for the time being of the units allocated to the contract (or, where entitlement is not denoted by means of units, the value for the time being of any other measure of entitlement under the contract equivalent to units) and the total amount of thepremiumsremaining to be paid during such of the term of the contract as is appropriate forzillmerisingor, if suchpremiumsare payable beyond the age of seventy-five, until that age;but excluding in all cases any vested reversionary bonus; and(2) for temporary assurances, the sum assured on theactuarial valuation date.

relevant date

means, in relation to the valuation of any asset for any purpose for which the rules inFriendly Society - Asset Valuationapply, the date when the asset falls to be valued for that purpose.

relevant insurance group undertaking

The changes to this defined term are effective from 23:00 on 31/12/2020.means, in relation to agroupfalling withinGroup Supervision 2.1(1) or2.1(2), eachUK Solvency II firmwithin thatgroup.

relevant legislation

means:(1)FSMA;(2) theCapital Requirements Regulations;(3) [deleted];(4) any other enactment; or(5) any EU regulation.

relevant person

means any of the following:(1) adirector,partneror equivalent, manager orappointed representative(or where applicable,tied agent) of thefirm;(2) adirector,partneror equivalent, or manager of anyappointed representative(or where applicable,tied agent) of thefirm;(3) anemployeeof thefirmor of anappointed representative(or where applicable,tied agent) of thefirm; as well as any other natural person whose services are placed at the disposal and under the control of thefirmor anappointed representativeor atied agentof thefirmand who is involved in the provision by thefirmofregulated activities; or(4) a natural person who is directly involved in the provision of services to thefirmor its appointed representative (or where applicable,tied agent) under anoutsourcingarrangement, for the purpose of the provision by the firm ofregulated activities.

relevant portfolio of assets

means, in respect of arelevant portfolio of insurance or reinsurance obligations, the portfolio of assets, referred to in regulation 4(3) of theIRPR regulations, which is assigned to cover thebest estimateof those insurance orreinsuranceobligations.

relevant portfolio of insurance or reinsurance obligations

means a portfolio oflong-term insurance or reinsurance obligations, in respect of which:(1) afirmhas been granted amatching adjustment permission; and(2) for the purposes of theMatching Adjustment Partonly, afirmis applying for amatching adjustment permission.

relevant risk-free interest rate term structure

means the relevant risk-free interest rate term structure, in accordance with:(1)Technical Provisions 5and8,Matching Adjustment Part,Technical Provisions - Further Requirements PartandTransitional Measures 10.2; and(2) deleted deleted the relevant technical information published by thePRAin accordance with regulation 3(1) of theIRPR regulations.

relevant senior management function

means, for the purposes of section 64A ofFSMAand to the extent applicable, pursuant to theFCA Handbook, to aUK Solvency II firm, theSociety, amanaging agent, athird country branch undertaking(other than aSwiss general insurer), anISPV, alarge non-directive insureror asmall non directive insurer:anFCA governing function; and[Deleted.];[Deleted.];[Deleted.];[Deleted.];[Deleted.];Compliance oversight function (FCA controlled functionSMF 16).

relevant service provider

This term is defined externally, please refer to:section 312L(8) ofFSMA

relevant services and activities

meansregulated activities,listed activitiesorancillary services.

remuneration

means any form of remuneration, including salary, discretionary pension benefits and benefits of any kind.

repo

means:(1) an agreement between a seller and buyer for the sale ofsecurities, under which the seller agrees to repurchase thesecurities, orequivalent securities, at an agreed date and, usually, at a stated price; or(2) an agreement between a buyer and a seller for the purchase ofsecurities, under which they buyer agrees to resell thesecurities, orequivalent securities, at an agreed date and, usually, at a stated price.

required margin of solvency

means the amount calculated in accordance withFriendly Society - Overall Resources and Guarantee Fund 3.

requirement

means a requirement included in afirm'sPart 4A permissionunder section 55LFSMA(Imposition of requirements by the FCA), section 55MFSMA(Imposition of Requirements by the PRA) or section 55OFSMA(Imposition of requirements on acquisition of control).

residual model limitation

means, in relation to aninternal modelfor which afirmhas, or in respect of which thefirmis applying for, aninternal model permission, an aspect of thatinternal modelthat prevents thefirmfrom demonstrating that thatinternal modelmeetsSolvency Capital Requirement - General Provisions 3.3and3.4and allinternal model requirementsin all the circumstances in which it is, or is intended, to be used.

resilience capital requirement

means one of the components of thelong-term insurance capital requirementas set out inInsurance Company - Capital Resources Requirements 20.

restricted own funds

meansown fundsitems that have a reduced capacity to fully absorb losses on a going-concern basis due to their lack of transferability within thefirmfor any of the following reasons:(1) the items can only be used to cover losses on a defined portion of thefirm'scontracts of insurance;(2) the items can only be used to cover losses in respect of certainpolicyholders; or(3) the items can only be used to cover losses arising from particular risks or liabilities;but does not include the value of future transfers attributable to shareholders.

retail client

means aclientwho is neither aprofessional clientor aneligible counterparty.

retained direct EU legislation

This defined term is effective from 23:00 on 31/12/2020.has the meaning given in section 20(1) of the European Union (Withdrawal) Act 2018.

retained EU law

This defined term is effective from 23:00 on 31/12/2020.has the meaning given in section 6(7) of the European Union (Withdrawal) Act 2018.

revision risk

meanslife revision riskand/orhealth revision risk, as the context requires.

RFB sub-consolidated basis

means on thesub-consolidated basisof thesub-consolidation group.

ring-fenced body

This term is defined externally, please refer to:Section 417(1) FSMA

ring-fenced fund

means an identifiable unit of assets and liabilities where the existence of a restriction on those assets in relation to those liabilities on a going concern basis gives rise torestricted own funds, other than amatching adjustment portfolio.

ring-fenced holding company

means a body corporate falling within section 192JA(2) ofFSMAthat is the ultimateparent undertakingwithin asub-consolidation group.

risk concentration

The changes to this defined term are effective from 23:00 on 31/12/2020.means all risk exposures with a loss potential which is large enough to threaten the solvency or the financial position in general of the regulated entities in afinancial conglomerate, whether such exposures are caused by counterparty risk/credit risk, investment risk, insurance risk,market risk, other risks, or a combination or interaction of such risks.

risk control rules

means therulesinInternal Capital Adequacy Assessment 4to11.

risk margin

means the portion oftechnical provisionscalculated in accordance withTechnical Provisions 4Aand4B.

risk measure

means a mathematical function which assigns a monetary amount to a givenprobability distribution forecastand increases monotonically with the level of risk exposure underlying thatprobability distribution forecast.[Note: Art. 13(39) of theSolvency II Directive]

risk-free interest rate transitional measure

means a transitional adjustment to therelevant risk-free interest rate term structure, referred to inTransitional Measures 10.1.

risk-mitigation techniques

The changes to this defined term are effective from 23:00 on 31/12/2020.means all techniques which enable aUK Solvency II firmto transfer part or all of its risks to another party.[Note: Art. 13(36) of theSolvency II Directive]

rolling spot forex contract

has the meaning given in thePRA Handbookas at 31 July 2015.